# 24NWCV04606 24NWCV04606

County: los-angeles

Division: Civil Law and Motion

Department: L

Hearing date: 2026-06-25

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=DOW%2CL%2C06%2F25%2F2026

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Case Number: 24NWCV04606 Hearing Date: June 25, 2026 Dept: L

I.

Normand Defendants' Demurrer to the Second Amended Complaint is SUSTAINED with 30 days leave to amend as to the third and fifth causes of action and is OVERRULED as to the sixth cause of action. The Motion to Strike is DENIED, in part, GRANTED, in part, and MOOT, in part.

II.

Normand Defendants' Motion to Compel Arbitration and to Sever the Action is DENIED.

Defendants to give notice.

Background

This is an action for contractual fraud. On November 22, 2024, Plaintiffs Eng Tan ("Eng") and Vantage Associates, Inc. ("Vantage") (collectively, "Plaintiffs") filed this action against Defendants Vantage Associates, Inc., Employee Stock Ownership Trust ("Trust"), Kevin Wright, Mary Normand, Miguel Paredes, and Does 1 to 10.

On April 25, 2025, Plaintiffs filed the First Amended Complaint. At the Case Management Conference on December 17, 2025, all parties stipulated to Plaintiff's leave to file the Second Amended Complaint (SAC). (12/17/25 Minute Order.)

The SAC alleges that the Trust owned all 1,361,092.218 shares of Vantage. Miguel Paredes was the trustee of the Trust. Defendant Mary Normand and Kevin Wright were Co-Chief Executive Officers of Vantage. Eng intended to purchase all shares owned by the Trust, at a purchase price of $2,750,000.00. The gravamen of the FAC is that Defendants Trust, Paredes, Wright, and Normand made certain misrepresentations to induce Eng to enter into a written Stock Sale and Purchase Agreement ("SSPA"). Pursuant to the SSPA, the final purchase price was $2,450,000.00, minus the $850,000.00 deposited in escrow. On April 24, 2024, the parties signed the SSPA, and the Trust transferred the shares to Eng. The SSPA is attached as "Exhibit D" to the SAC.

The parties have been unable to agree on adjustments to the purchase price associated with final accounting and post-closing expenses, and thus, the $850,000.00 remains in escrow. The SAC alleges the following causes of action: 1) Breach of Contract, 2) Breach of Covenant of Good Faith and Fair Dealing, 3) Fraud and Intentional Deceit, 4) Negligent Misrepresentation, 5) Conversion, and 6) Breach of Fiduciary Duty.

Defendants Kevin Wright and Mary Normand ("Normand Defendants") now demur to the third cause of action (brought by Eng), fifth cause of action (brought by Vantage), and sixth cause of action (brought by Vantage). Normand Defendants also move to strike portions of the SAC. In the alternative, Normand Defendants move to compel arbitration on the fifth and sixth causes of action, both brought by Vantage, pursuant to an arbitration agreement between the parties.

On April 28, 2026, the Court found that the Demurrer was styled as two separate requests. Thus, the Court 1) specially set the Motion to Compel Arbitration for a noticed hearing and allowed for a supplemental opposition and a reply to be filed, and 2) continued the Demurrer to today's date. (4/28/26 Minute Order.)

## I. Demurrer with Motion to Strike

### Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (“Donabedian”) (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

Meet and Confer

Code of Civil Procedure section 430.41, subdivision (a) and section 435.5 require that the parties meet and confer “in person,¿by telephone, or by video conference.”

On December 29, 2025, Defense counsel met and conferred with Plaintiffs’ counsel via telephone regarding the issues in the Demurrer and Motion to Strike. (Farber Decls., ¶ 2.)

The Court finds that the meet and confer requirement has been met.

Discussion

Third Cause of Action – Fraud and Intentional Deceit
(Eng v. Trust,

Paredes, and Normand Defendants)

“One who willfully deceives
another with intent to induce him to alter his position to his injury or risk, is liable for any damage which he thereby suffers.” (Civ. Code § 1709.)

"The elements of fraud are (a) a misrepresentation (i.e., false representation); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

The elements for fraudulent concealment are as follows: 1) defendant concealed or suppressed a material fact, 2) defendant was under a duty to disclose the fact to the plaintiff, 3) defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, 4) plaintiff was unaware of the fact and would not have acted in the same way knowing of the concealed or suppressed fact, 5) causation, and the plaintiff sustained damage. (See Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868; see also Lovejoy v. AT&T Corp. (2001) 92 Cal.App.4th 85, 96; Hahn v. Mirda (2007) 147 Cal.App.4th 740, 748.) The rule of specifically pleading how, when, where, to whom, and by what means, misrepresentations were communicated, applies to affirmative misrepresentations, not to concealment. (See Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) ("Alfaro") 171 Cal.App.4th 1356, 1384.)

Normand Defendants argue that the third cause of action fails to allege 1) what specific misrepresentations they made to Eng, 2) their intent to defraud, 3) justifiable reliance. To the extent that the cause of action alleges fraudulent concealment, there are no allegations regarding Defendants' duty to disclose.

In opposition, Plaintiffs argue that the SAC adequately alleges fraud. Specifically, Normand Defendants intentionally misrepresented and/or omitted the following material facts with the intent to induce Eng to purchase Vantage.

1. Defendants intentionally misrepresented that the building in Alva, Oklahoma did not include the land but was subject to a lease agreement. (SAC, ¶ ¶ 17, 28, 29, 32, 73a, 73b, 73(c), 74, 76.)

2.

Defendants provided Eng with false financial information of Vantage. (SAC, ¶¶ 18, 22, 23 30, 31, 32(c), 73(h), 75, 76.)

3.

Defendants omitted that they paid themselves $900,000.00 in unpaid bonuses prior to the sale closing (SAC, ¶¶ 32(d) 73(d), 76, 100.)

4.

Defendants misled Eng to believe that Vantage's employees would remain employed and omitted that the employees were going to quit after the sale closed. (SAC, ¶¶ 32(e), 73(e), 76.)

5.

Defendants omitted that Vantage was the subject of a Department of Labor investigation. (SAC, ¶¶ 32(f), 73(f), 76.)

6.

Defendants omitted that Vantage's assets were fully insured when the Santa Fe Springs Property was not insured. (SAC, ¶¶ 32(g) 73(g), 76.)

The Court finds that the representations regarding the Alva facility involve both an affirmative misrepresentation and an omission. Specifically, the SAC alleges that, in a meeting with Norman and Normand's son, Eng was informed that "VANTAGE owned the real estate where the Alva, Oklahoma facility was located." (SAC, ¶ 16.) The Court finds that the SAC is not specific as to who exactly made this representation to Eng. As to the omission, the SAC alleges that Wright sent a PowerPoint to Eng that failed to disclose that the land that the Alva facility sits on was leased, not owned. (SAC, ¶¶ 17, 29.) The Court finds that the SAC fails to allege that Normand Defendants had a duty to disclose such information.

As to the false financial information provided to Eng, an affirmative misrepresentation, the Court agrees that the SAC does not specifically allege what this false information entailed or how it was communicated to Eng.

As to the remaining

omissions, previously noted, the rule of heightened pleading for fraud does not apply to fraudulent concealment. (See Alfaro, supra, 171 Cal.App.4th at p.1384.) However, the Court finds that the SAC fails to allege that Normand Defendants had a duty to disclose such information.

As all alleged misrepresentations/omissions, the Court finds that the SAC fails to allege why Eng's reliance was justifiable. The allegations regarding reliance are conclusory. (SAC, ¶¶ 79-80.) The Court finds that the SAC adequately alleges Normand Defendants' intent to defraud. (SAC, ¶¶ 74-75, 78.)

Accordingly, the Demurrer to the third cause of action is SUSTAINED with 30 days leave to amend.

Vantage's Standing

Normand Defendants argue that Eng lacks standing to bring a derivative suit on behalf of Vantage because he was not a shareholder at the time of the alleged misconduct. Specifically, Vantage's claims against the Normand Defendants took place before the sale closed—i.e., before Eng was a shareholder. Further, Eng did not obtain a finding from the Court, via motion, that he fits into the "continuing wrong" exception to this rule pursuant to Corporations Code section 800.

In opposition, Plaintiffs argue that the fifth and sixth causes of action are not based on a derivative suit by Eng. Rather, they are brought by Vantage in its own capacity.

In reply, Normand Defendants do not address the standing issue.

The Court finds that Vantage has standing to bring conversion and breach of fiduciary duty claims against its corporate officers in its own capacity.

Fifth Cause of Action – Conversion (Vantage v. Normand Defendants)

"Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.)

Normand Defendants argue that the SAC alleges that that bonuses totaling $900,000.00 were "due" to, and later paid to, Defendants. (SAC, ¶¶ 32(d), 66(d), 73(d), 89(d).) Defendants assert that, the SAC cannot allege that Defendants converted such funds where the funds were "due" to them. In other words, the SAC admits that Vantage has no possessory interest in the funds to support conversion.

In opposition, Plaintiffs argue that the fifth cause of action is adequately alleged. The claim alleges that there was no corporate authority or any other authorization for Normand Defendants to pay out the bonuses to themselves. (SAC, ¶ 100.) To the extent that the Court seeks clarification, Plaintiffs should be granted leave to amend.

The fifth cause of action alleges, in relevant part, the following:

"98.
VANTAGE was the owner of all funds in the bank accounts of VANTAGE, but as Co-CEO's WRIGHT and/or NORMAND had access to the VANTAGE bank accounts and other assets.

99.
VANTAGE herein alleges that within the last year, prior to the Closing of the shares from the TRUST to ENG, WRIGHT and NORMAND directed VANTAGE property, in the form of cash, in the amount of $900,000.00 by issuing payment from VANTAGE to WRIGHT and NORMAND as individuals.

100.
VANTAGE herein alleges that there was no corporate authority or any other authorization or legal basis for WRIGHT and/or NORMAND to direct the $900,000.00 payment.

101.
Based upon the allegations contained herein, VANTAGE alleges that WRIGHT and/or

NORMAND converted the funds of VANTAGE for their own personal benefit.

102.
As a result of the conversion of funds from VANTAGE to WRIGHT and/or NORMAND, VANTAGE has been harmed in that it does not have right title or control of the $900,000.00 taken.

103.
VANTAGE herein alleges that VANTAGE is entitled to a return of the funds, to wit, $900,000.00."

(SAC, ¶¶ 98-103.)

The Court finds that SAC alleges that there were "unpaid bonuses due to" Normand Defendants (SAC, ¶¶ 32(d), 66(d), 73(d), 89(d)), while also alleging that there was no "legal basis" for them to direct such payment prior to closing. The Court finds that it is unclear how Vantage was damaged in the amount of $900,000.00—implying that the funds should not have been disbursed—where the SAC acknowledges that such amount were "due" to Defendants. The Court permits Plaintiffs the opportunity to clarify this discrepancy via amendment.

Accordingly, the Demurrer to the fifth cause of action is SUSTAINED with 30 days leave to amend.

Sixth Cause of Action – Breach of Fiduciary Duty
(Vantage v. Normand

Defendants)

The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820.)

The SAC alleges that Normand breached her fiduciary duty to Vantage because her son, an employee, received a raise when Vantage was losing money, and the Vantage Southern California operations were about to be shuttered, and there was no justification or basis […]." (SAC, ¶ 109.) Further, the SAC alleges that Wright breached his fiduciary duty by working for Normand's company while he was employed by Vantage. (SAC, ¶ 108.) Normand Defendants assert that it is unclear how such conduct arises to the level of a breach of fiduciary duty. Further, the SAC does not allege damages stemming from this alleged breach.

Additionally, the SAC alleges the following: "Upon further investigation, VANTAGE believes that other facts establishing a breach of WRIGHT and NORMAND's fiduciary duty will be discovered, and VANTAGE will amend this complaint with such facts when discovered." (SAC, ¶ 110.) Normand Defendants argue that such allegation is insufficient to state a claim.

In opposition, Plaintiffs argue that it is reasonable to infer from the allegations that Normand Defendants breached their fiduciary duty and damaged Vantage.

The Court finds that the allegations are adequately pled. At this stage. the Court is satisfied that the alleged conduct constitutes a breach of fiduciary duty. Any specific details regarding the circumstances surrounding the alleged conduct constituting breach of fiduciary duty can be further clarified through discovery. (See Khoury v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.) The sixth cause of action is not so uncertain that Normand Defendants cannot reasonably understand what is being alleged against it.

Accordingly, the Demurrer to the sixth cause of action is OVERRULED.

Motion to Strike

Code of Civil Procedure, section 436 permits trial courts to strike out any irrelevant, false, or improper matter inserted in a pleading:

"The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

(a)¿Strike out any irrelevant, false, or improper matter inserted in any pleading.

(b)¿Strike out all or any

part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.”

(Code Civ. Proc., § 436.)

Normand Defendants move to strike the following portions of the SAC:

1. Conspiracy Allegations related to the Third Cause of Action: paragraphs 70, 76, 77.

2. Punitive Damages Allegations related to the Third and Sixth Causes of Action: paragraphs 85 and 112.

3. Attorney’s Fees Allegations: paragraph 6 of the Prayer for Damages.

Conspiracy Allegations

As the Demurrer was sustained to the third cause of action, the Motion to Strike conspiracy allegations related to that cause of action is MOOT.

Punitive Damages Allegations

As the Demurrer was sustained to the third cause of action, the Motion to Strike punitive damages allegations related to that cause of action is MOOT.

As to the sixth cause of action, Normand Defendants only argue that it fails to state a claim, and thus, punitive damages should be stricken. Because the Court overruled the Demurrer, the Motion to Strike is DENIED as to the punitive damages allegations in the sixth cause of action.

Attorney’s Fees

Normand Defendants argue
that the SAC cites no statute or contract that authorizes them to recover attorneys' fees against them pursuant to Code of Civil Procedure section 1033.5.

In opposition, Plaintiffs
argue that they may be entitled to attorney's fees in relation to the fraud and conversion claims. Plaintiffs assert that plaintiffs in business fraud cases can recover attorney fees and treble damages under Penal Code section 496, subdivision (c), citing Siry Investment, L.P. v. Farkhondehpour ("Siry") (2022) 13 Cal.5th 333.

In reply, Normand Defendants
note that the SAC does not seek damages pursuant to Penal Code section 496, subdivision (c) as the plaintiffs did in Siry. (See Siry, supra, 13 Cal.5th 333 at p. 341.) Neither have Plaintiffs alleged sufficient facts to support an award of attorney's fees under that provision.

The Court agrees with
Normand Defendants. However, the Court will allow Plaintiffs to amend the SAC to establish a specific entitlement to attorney's fees. Accordingly, the Motion to Strike the prayer for attorney's fees is GRANTED with 30 days leave to amend.

II.
Motion to Compel Arbitration

As the Demurrer was sustained
with leave to amend as to the fifth cause of action and overruled as to the sixth cause of action, the Court rules on Normand Defendants' alternative Motion to Compel Arbitration between Vantage and Normand Defendants.

Legal Standard

Parties may be compelled to
arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute.¿ (Code Civ. Proc., § 1281.2; see also Omar v. Ralphs Grocery Co. (2004)¿118 Cal.App.4th 955, 961.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party

opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court¿(1998) 62 Cal.App.4th 348, 356-57.)¿

Discussion

Existence of an Arbitration Agreement

Under both the Federal Arbitration Act and California law, Arbitration Clauses are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc., § 1281.2.) In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.)

"With respect to the moving party's burden to provide evidence of the¿existence¿of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court. (See¿Condee v. Longwood Management Corp.¿(2001) 88 Cal.App.4th 215, 218; see also Cal. Rules of Court, rule 3.1330 ["A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim, or a copy must be physically or electronically attached to the petition and incorporated by reference"].) Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges. [Citation.]" (Baker v. Italian Maple Holdings, LLC¿(2017) 13 Cal.App.5th 1152, 1160.)

Normand Defendants move to compel arbitration as to the sixth and fifth causes of action brought by Vantage only, based on an arbitration agreement between the parties. Defendants essentially seek to sever the fifth and sixth causes of action from the remainder of the case. Defendants argue that a Vantage Employee Handbook (“Handbook”) includes an arbitration provision stating the following:

“Any controversy, dispute or claim between any employee and the Company, or its officers, agents, or other employees, shall be settled by binding arbitration, at the request of either party. The arbitrability of any controversy, dispute or claim under this policy shall be determined by application of the substantive provisions of the Federal Arbitration Act Title 9. Arbitration shall be the exclusive method for resolving any dispute; provided, however, that either party may request provisional relief from a court of competent jurisdiction.”

(Normand & Wright Decls., ¶ 4, Exh. A, p. 13.)

Normand Defendants argue that the Federal Arbitration Act applies because Vantages’ business operations and the Handbook evidence a transaction involving interstate commerce. Defendants argue that a valid arbitration agreement exists because Defendants signed the Handbook as employees. (Normand & Wright Decls., ¶ 4, Exh. A, p. 47.) Defendants note that the arbitration provision covers tort claims that arise between the parties—i.e., the fifth and sixth causes of action.

In opposition, Plaintiffs argue that the Handbook is not a binding contract. Specifically, the Handbook states that “. . . this handbook is not intended to create any express or implied contract rights between the Company and the employee. . .” (Normand & Wright Decls., ¶ 4, Exh. A, p. 49.) Further, Plaintiffs assert that the fifth and sixth causes of action are not covered by the scope of the arbitration provision. Specifically, the causes of action (conversion and breach of fiduciary duty) “do not arise from the employment relationship, but instead arise from the Normand Defendants’ conduct as corporate officers exercising control over corporate assets and decision making.” (Arb. Opp., 3:20-22.)

Additionally, Plaintiffs argue that the Court can independently deny the Motion to Compel Arbitration based on Code of Civil Procedure section 1281.2, subdivision (c). That provision provides that a court shall refuse to enforce an arbitration agreement where: (1) a party to the arbitration agreement is also involved in a pending court action with third parties; (2) the claims arise out of the same transaction or series of related transactions; and (3) there is a possibility of conflicting rulings on common issues of law or fact. (Code Civ. Proc., § 1281, subd. (c).)

In reply, Normand Defendants argue that, since Vantage drafted the Handbook, any inconsistency in the Handbook should be construed against Vantage. The Handbook was intended to create binding conditions of employment. Further, the Handbook covers the scope of the fifth and sixth causes of action because the Normand Defendants are simultaneously officers and employees of Vantage, and the Handbook covers all disputes arising from the employment relationship.

Lastly, there are no potential conflicting rulings of law or fact such that the Motion to Compel Arbitration should be denied pursuant to Code of Civil Procedure section 1281.2, subdivision (c).

The Court finds that a valid arbitration agreement does not exist between the parties.

Firstly, upon inspection of the Handbook, Normand Defendants signed under section 16, entitled “Employee Handbook Approval.” (Normand & Wright Decls., ¶ 4, Exh. A, p. 47.) Section 17 and 19 entitled “Employee Acknowledgements” and “Handbook Acknowledgement of Receipt and Understanding” are not initialed or signed by Normand Defendants. The Court is not persuaded that Normand Defendants signed the Handbook as employees—rather, they only signed the Handbook for purposes of approval in their capacity as CCO and CFO, as indicated on page 47.

Further, the Court agrees with Plaintiffs that the Handbook does not cover Vantage’s claims in the fifth and sixth causes of action. The Handbook’s arbitration provision covers “Any controversy, dispute or claim between any employee and the Company, or its officers […].” (Normand & Wright Decls., ¶ 4, Exh. A, p. 13, emphasis added.) Further, the arbitration provision states that the “claims which are to be arbitrated under this policy include, but are not limited to, claims for wages and other compensation, claims for breach of contract (express or implied), claims for violation of public policy, wrongful termination, tort claims, claims for unlawful discrimination and/or harassment […].” (Ibid.) The Court reads such language to mean that the arbitration provision covers disputes between an employee and Vantage or its officers. Here, the fifth and sixth causes of action for conversion and breach of fiduciary duty arise out of Normand Defendants' positions as corporate officers of Vantage, not as mere employees. Because the Handbook specifically covers disputes between employees and "Vantage or its officers," the Court finds that it was not intended to cover disputes between corporate officers and Vantage, as is the case here.

Thus, the Court finds that there is no valid arbitration agreement that covers Plaintiff's fifth and sixth causes of action.

Accordingly, Normand Defendants' Motion to Compel Arbitration and Sever the Action is DENIED.